

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City
Development Joint Stock Company]

Interim consolidated financial statements

30 September 2018

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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Vinhomes Joint Stock Company

[previously known as Hanoi Southern City Development Joint Stock Company]

GENERAL INFORMATION

THE COMPANY

Vinhomes Joint Stock Company ("the Company"), previously known as Hanoi Southern City Development JSC ("Hanoi Southern JSC"), is a joint stock company established in Vietnam in accordance with the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. In accordance with the 19th amended Enterprise Registration Certificate dated 2 February 2018, Hanoi Southern JSC has changed its business name to Vinhomes Joint Stock Company. The Company subsequently also received amended Enterprise Registration Certificates with the the 24th amendment dated 01 October 2018 as the latest.

The principal activities of the Company and its subsidiaries are to develop real estate property for sale, to provide leasing of offices, and to render real estate management and related services.

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam.

Vingroup JSC is the Company's parent. Vingroup JSC and its subsidiaries are hereby referred to as the Group.

BOARD OF DIRECTORS

Members of the Board of Directors during the period and at the date of this report are:

Mr. Pham Nhat Vuong	Chairman	Appointed on 21 February 2018
Ms. Mai Huong Noi	Chairwoman	Resigned on 21 February 2018
Ms. Nguyen Dieu Linh	Vice Chairwoman	Appointed on 18 July 2018
Mr. Nguyen Viet Quang	Member	Appointed on 21 February 2018
Ms. Cao Thi Ha An	Member	Appointed on 21 February 2018
Mr. Varun Kapur	Independent member	Appointed on 21 February 2018
Mr. Mueen Uddeen	Independent member	Appointed on 21 February 2018
Mr. Pham Thieu Hoa	Member	Resigned on 21 February 2018
Ms. Nguyen Mai Hoa	Member	Resigned on 21 February 2018

SUPERVISORY BOARD

Members of the Supervisory Board during the period and at the date of this report are:

Mr. Pham Khoi Nguyen	Head of the Supervisory Board	Appointed on 21 February 2018
Ms. Le Thi Kim Thanh	Head of the Supervisory Board	Resigned on 21 February 2018
Ms. Doan Thi Thu Mai	Member	Appointed on 21 February 2018
Ms. Le Thi Duyen	Member	Appointed on 21 February 2018
Ms. Doan Thi Bich Ngoc	Member	Resigned on 21 February 2018
Ms. Doan Thi Ha	Member	Resigned on 21 February 2018

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

GENERAL INFORMATION (CONTINUED)

MANAGEMENT

Members of the management during the period and at the date of this report are:

Ms. Nguyen Dieu Linh	General Director	Appointed on 23 February 2018
Mr. Nguyen Viet Quang	General Director	Resigned on 23 February 2018
Ms. Nguyen Thi Thu Hoai	Deputy General Director	Appointed on 21 February 2018
		Resigned on 4 June 2018
Mr. Douglas John Farrell	Deputy General Director	Appointed on 21 February 2018
Ms. Nguyen Ngoc Thuy Linh	Deputy General Director	Appointed on 21 February 2018
Mr. Nguyen Duc Quang	Deputy General Director	Appointed on 21 February 2018
Ms. Nguyen Mai Hoa	Deputy General Director	Resigned on 21 February 2018
Mr. Pham Thieu Hoa	Deputy General Director	
Ms. Phi Thi Thuc Nga	Deputy General Director	Resigned on 21 February 2018
		Appointed on 8 June 2018
Ms. Mai Thu Thuy	Deputy General Director	Resigned on 21 February 2018
Mr. Nguyen Van Trai	Deputy General Director	Appointed on 1 June 2018
Mr. Pham Van Khuong	Deputy General Director	Appointed on 1 October 2018

LEGAL REPRESENTATIVES

The legal representatives of the Company:

- ▶ from 01 January 2018 to 22 February 2018 is Mr. Nguyen Viet Quang;
- ▶ from 23 February 2018 to 11 June 2018 is Ms. Nguyen Dieu Linh, General Director; and
- ▶ from 23 February 2018 to the date of this report are Ms. Nguyen Dieu Linh, General Director, Mr. Nguyen Van Trai, Deputy General Director and Mr. Pham Nhat Vuong, Chairman.

Ms. Le Thi Hai Yen is authorised to sign the accompanying interim consolidated financial statements for the nine-month period ended 30 September 2018 in accordance with the Letter of Authorisation dated 1 March 2018.

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

REPORT OF MANAGEMENT

Management of Vinhomes Joint Stock Company ("the Company") is pleased to present this report and the interim consolidated financial statements of the Company and its subsidiaries for the nine-month period ended 30 September 2018.

MANAGEMENT'S RESPONSIBILITY IN RESPECT OF THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the interim consolidated financial statements of each financial period which give a true and fair view of the interim consolidated financial position of the Company and its subsidiaries and of the interim consolidated results of its operations and its interim consolidated cash flows for the period. In preparing those interim consolidated financial statements, management is required to:

- ▶ select suitable accounting policies and then apply them consistently;
- ▶ make judgements and estimates that are reasonable and prudent;
- ▶ state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the interim consolidated financial statements; and
- ▶ prepare the interim consolidated financial statement on the going concern basis unless it is inappropriate to presume that the Company and its subsidiaries will continue its business.

Management is responsible for ensuring that proper accounting records are kept which disclose, with reasonable accuracy at any time, the interim consolidated financial position of the Company and its subsidiaries and to ensure that the accounting records comply with the applied accounting system. It is also responsible for safeguarding the assets of the Company and its subsidiaries and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Management confirmed that it has complied with the above requirements in preparing the accompanying interim consolidated financial statements.

STATEMENT BY MANAGEMENT

Management does hereby state that, in its opinion, the accompanying interim consolidated financial statements give a true and fair view of the interim consolidated financial position of the Company as at 30 September 2018 and of the interim consolidated results of its operations and its interim consolidated cash flows for the nine-month period then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements.



For and on behalf of management:

Chief Financial Officer

Hanoi, Vietnam

30 October 2018

Vinhomes Joint Stock Company B01a-DN/HN
[previously known as Hanoi Southern City Development Joint Stock Company]

INTERIM CONSOLIDATED BALANCE SHEET
as at 30 September 2018

Currency: VND

Code	ASSETS	Notes	30 September 2018	31 December 2017
100	A. CURRENT ASSETS		107,648,617,911,024	44,421,050,167,080
110	I. Cash and cash equivalents	4	5,928,624,411,953	1,561,577,770,818
111	1. Cash		2,042,456,531,699	818,341,400,251
112	2. Cash equivalents		3,886,167,880,254	743,236,370,567
120	II. Short-term investments	5	1,193,862,323,632	-
123	1. Held-to-maturity investments		1,193,862,323,632	-
130	III. Current accounts receivable		55,429,467,796,119	24,774,715,203,806
131	1. Short-term trade receivables	6.1	4,610,478,646,830	11,945,377,777,386
132	2. Short-term advances to suppliers	6.2	6,478,940,380,477	1,695,194,896,147
135	3. Short-term loan receivables	7	16,424,599,942,002	9,477,028,513,431
136	4. Other short-term receivables	8	28,029,586,419,364	1,755,862,686,147
137	5. Provision for doubtful short-term receivables		(114,137,592,554)	(98,748,669,305)
140	IV. Inventories	10	38,316,304,130,542	17,006,259,676,992
141	1. Inventories		38,392,795,541,846	17,265,369,555,979
149	2. Provision for obsolete inventories		(76,491,411,304)	(259,109,878,987)
150	V. Other current assets		6,780,359,248,778	1,078,497,515,464
151	1. Short-term prepaid expenses	11	987,351,127,147	786,169,470,464
152	2. Value-added tax deductible	20	379,265,025,093	83,535,446,363
153	3. Tax and other receivables from the State	20	39,614,908,746	2,214,131,652
155	4. Other current assets	12	5,374,128,187,792	206,578,466,985

Vinhomes Joint Stock Company B01a-DN/HN
[previously known as Hanoi Southern City Development Joint Stock Company]

INTERIM CONSOLIDATED BALANCE SHEET
as at 30 September 2018

Currency: VND

Code	ASSETS	Notes	30 September 2018	31 December 2017
200	B. NON-CURRENT ASSETS		30,546,015,137,654	6,882,768,858,975
210	I. Long-term receivables		141,626,464,996	87,738,322,397
215	1. Long-term loan receivables		3,257,497,661	3,257,497,661
216	2. Other long-term receivables	8	138,368,967,335	84,480,824,736
220	II. Fixed assets		395,635,420,062	1,355,894,476,327
221	1. Tangible fixed assets	13	366,367,471,088	1,290,934,019,009
222	Cost		415,972,792,187	1,451,230,179,505
223	Accumulated depreciation		(49,605,321,099)	(154,295,559,896)
227	2. Intangible fixed assets		29,267,948,974	58,959,856,718
228	Cost		49,623,388,878	75,484,179,936
229	Accumulated amortisation		(20,355,439,904)	(16,524,323,218)
230	III. Investment properties	14	5,759,951,934,771	163,038,247,202
231	1. Cost		6,223,610,159,885	196,220,103,796
232	2. Accumulated depreciation		(463,658,225,114)	(33,181,856,594)
240	IV. Long-term assets in progress		19,830,508,964,952	2,462,055,543,041
242	1. Construction in progress	16	19,830,508,964,952	2,462,055,543,041
250	V. Long-term investments	17	72,223,000,000	1,754,972,107,124
252	1. Investments in associates	17.1	-	9,443,697,124
253	2. Investments in other entities	17.2	22,223,000,000	1,695,528,410,000
255	3. Held-to-maturity investments		50,000,000,000	50,000,000,000
260	VI. Other long-term assets		4,346,069,352,873	1,059,070,162,884
261	1. Long-term prepaid expenses	11	482,571,827,696	392,514,863,581
262	2. Deferred tax assets	33.3	111,109,894,430	39,743,980,836
268	3. Other long-term assets	12	2,607,566,236,498	-
269	4. Goodwill	18	1,144,821,394,249	626,811,318,467
270	TOTAL ASSETS		138,194,633,048,678	51,303,819,026,055

Vinhomes Joint Stock Company
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INTERIM CONSOLIDATED BALANCE SHEET
as at 30 September 2018

Currency: VND

Code	RESOURCES	Notes	30 September 2018	31 December 2017
300	C. LIABILITIES		91,919,408,264,058	41,180,033,529,612
310	I. Current liabilities		64,012,184,847,129	34,223,057,193,372
311	1. Short-term trade payables	19.1	3,015,383,166,002	925,390,582,708
312	2. Short-term advances from customers	19.2	19,863,490,090,061	16,845,744,264,404
313	3. Statutory obligations	20	1,698,775,440,972	230,506,823,635
314	4. Payable to employees		32,330,099,152	3,626,966,610
315	5. Short-term accrued expenses	21	4,643,899,831,960	1,738,436,383,603
318	6. Short-term unearned revenue	22	432,775,852,476	16,617,259,917
319	7. Other short-term payables	23	18,413,662,362,287	5,763,144,422,167
320	8. Short-term loans	24	15,911,868,004,218	8,699,590,490,328
330	II. Non-current liabilities		27,907,223,416,930	6,956,976,336,240
336	1. Long-term unearned revenue	22	1,846,581,391,060	268,018,281,667
337	2. Other long-term liabilities	23	131,998,051,379	4,453,549,069
338	3. Long-term loans	24	25,685,578,253,688	6,627,686,696,069
342	4. Long-term provisions	25	243,065,720,803	56,817,809,435

Vinhomes Joint Stock Company
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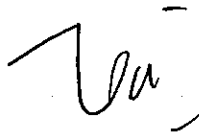
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INTERIM CONSOLIDATED BALANCE SHEET
as at 30 September 2018

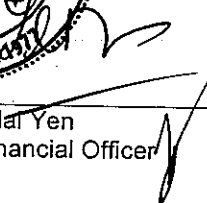
Currency: VND

Code	RESOURCES	Notes	30 September 2018	31 December 2017
400	D. OWNERS' EQUITY		46,275,224,784,620	10,123,785,496,443
410	I. Capital	26	46,275,224,784,620	10,123,785,496,443
411	1. Share capital	26.1	26,796,115,500,000	2,000,000,000,000
411a	- Shares with voting rights		26,796,115,500,000	2,000,000,000,000
420	2. Other funds belonging to owners' equity	26.1	1,834,550,998,440	(99,117,851,011)
421	3. Undistributed earnings		12,565,479,799,058	5,003,298,133,184
421a	- Undistributed earnings by the end of prior year		103,298,133,184	2,970,805,560,320
421b	- Undistributed earnings of current period		12,462,181,665,874	2,032,492,572,864
429	4. Non-controlling interests	26.1	5,079,078,487,122	3,219,605,214,270
440	TOTAL LIABILITIES AND OWNERS' EQUITY		138,194,633,069,044	51,303,819,026,055


Phung Thi Bich Hong
Preparer


Bui Thi Ha
Chief accountant




Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

30 October 2018

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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INTERIM CONSOLIDATED INCOME STATEMENT
QUARTER III 2018

		Currency: VND				
Code	ITEMS	Notes	Quarter III 2018	Quarter III 2017	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
01	1. Revenue from sale of goods and rendering of services	27.1	6,878,187,706,502	6,892,907,624,111	22,405,307,021,095	12,066,195,784,004
02	2. Deductions	27.1	-	-	-	-
10	3. Net revenue from sale of goods and rendering of services	27.1	6,878,187,706,502	6,892,907,624,111	22,405,307,021,095	12,066,195,784,004
11	4. Cost of goods sold and services rendered	28	(4,222,016,510,818)	(4,141,096,963,941)	(15,414,212,479,817)	(7,278,927,869,694)
20	5. Gross profit from sale of goods and rendering of services		2,656,171,195,684	2,751,810,660,170	6,991,094,541,278	4,787,267,914,310
21	6. Finance income	27.2	3,684,787,979,790	150,461,478,145	11,035,884,626,016	623,572,246,666
22 23	7. Finance expenses <i>In which: Interest and bond issuance expenses</i>	29	(717,800,149,646) (718,453,610,962)	(398,544,082,299) (242,617,470,719)	(1,642,680,396,798) (1,604,282,648,491)	(838,808,995,103) (673,249,064,022)
24	8. Shares of (loss)/profit of associates	17.1	(32,125,495)	148,051,714,464	159,112,581	297,611,082,582
25	9. Selling expenses	30	(218,318,842,332)	(616,315,121,239)	(756,350,944,833)	(1,287,249,060,828)
26	10. General and administrative expenses	30	(287,475,556,609)	(156,265,376,945)	(607,996,603,902)	(442,371,148,307)

Vinhomes Joint Stock Company
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INTERIM CONSOLIDATED INCOME STATEMENT
QUARTER III 2018

		Currency: VND			
Code	ITEMS	Notes	Quarter III 2018	Quarter III 2017	For the nine-month period ended 30 September 2017
30	11. Operating profit		5,117,332,501,392	1,879,199,272,296	3,140,022,039,323
31	12. Other income		25,695,806,937	9,640,413,727	34,585,902,131
32	13. Other expenses		(16,610,304,913)	(95,786,339,955)	(109,765,755,003)
40	14. Other profit		9,085,502,024	(86,145,926,228)	(75,179,852,872)
50	15. Accounting profit before tax		5,126,418,003,416	1,793,053,346,068	3,064,842,186,451
51	16. Current corporate income tax expenses	31.1	(874,795,044,838)	(338,300,734,523)	(545,025,531,396)
52	17. Deferred tax (expenses)/income	31.3	(212,270,828,794)	3,213,116,390	6,565,427,559
60	18. Net profit after tax		4,039,352,129,784	1,457,965,727,935	2,526,382,082,614

Vinhomes Joint Stock Company
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INTERIM CONSOLIDATED INCOME STATEMENT
QUARTER III 2018

Currency: VND

Code	ITEMS	Notes	Quarter III/2018	Quarter III/2017	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
61	19. Net profit after tax attributable to shareholders of the parent		3,847,998,897,453	1,395,728,555,229	11,886,521,923,492	2,402,953,530,247
62	20. Net profit after tax attributable to non-controlling interests		191,353,232,331	62,237,172,706	309,618,117,538	123,428,552,367
70	21. Basic earnings per share	33	1,149	1,861	3,894	3,204



[Signature]

Phung Thi Bich Hong
Preparer

[Signature]

Bui Thi Ha
Chief Accountant

[Signature]
Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

30 October 2018

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

B03a-DN/HN

INTERIM CONSOLIDATED CASH FLOW STATEMENT
For the nine-month period ended 30 September 2018

Currency: VND

Code	ITEMS	Notes	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
	I. CASH FLOWS FROM OPERATING ACTIVITIES			
01	Profit before tax		15,100,761,632,885	3,064,842,186,451
02	Adjustments for: Depreciation of tangible fixed assets and investment properties and amortisation of intangible fixed assets (including amortisation of goodwill)			
03	(Reversal of provisions)/provisions		186,993,838,012	441,121,908,592
04	Foreign exchange gain arisen from revaluation of monetary accounts denominated in foreign currency		(290,565,301,140)	5,657,975,266
05	Profits from investing activities		-	9,222,973,434
06	Interest and bond issuance expenses		(11,084,511,925,564)	(809,960,032,572)
			1,604,282,648,491	673,249,737,816
08	Operating profit before changes in working capital		5,516,960,892,684	3,384,134,748,987
09	Decrease/(increase) in receivables		2,585,721,262,608	(884,384,519,068)
10	Decrease/(increase) in inventories		(1,073,602,749,206)	(1,223,385,678,282)
11	(Decrease)/increase in payables (other than interest, corporate income tax)		(11,810,074,230,565)	1,951,971,268,932
12	Decrease/(increase) in prepaid expenses		703,325,267,320	(88,635,965,104)
14	Interest paid		(1,751,336,033,646)	(165,987,457,985)
15	Corporate income tax paid	20	(2,869,945,940,285)	(641,266,925,026)
20	Net cash flows (used in)/from operating activities		(8,698,951,531,090)	2,332,445,472,454

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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INTERIM CONSOLIDATED CASH FLOW STATEMENT (Continued)
For the nine-month period ended 30 September 2018

Currency: VND

Code	ITEMS	Notes	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
	II. CASH FLOWS FROM INVESTING ACTIVITIES			
21	Purchase and construction of fixed assets and other long-term assets		(587,429,803,803)	(187,499,326,625)
22	Proceeds from disposals of fixed assets and other long-term assets		3,109,807,000,000	-
23	Loans to other entities and payments for purchase of debt instruments of other entities		(27,810,080,318,464)	(8,785,000,000,000)
24	Collections from borrowers and proceeds from sale of debt instruments of other entities		21,645,298,306,797	4,224,274,152,433
25	Payments for investments in other entities (net of cash held by entity being acquired)		(44,529,521,761,507)	(5,216,972,792,440)
26	Proceeds from sale of investments in other entities (net of cash held by entity being disposed)		23,304,251,517,147	360,603,991,075
27	Interest and dividends received		933,881,687,459	314,670,857,087
30	Net cash flows used in investing activities		(23,933,793,372,371)	(9,289,923,118,470)
	III. CASH FLOWS FROM FINANCING ACTIVITIES			
31	Capital contribution and issuance of shares		12,240,978,700,000	-
33	Drawdown of borrowings		66,038,579,508,409	19,756,699,240,490
34	Repayment of borrowings		(40,372,489,988,812)	(14,643,063,684,690)
36	Dividends paid		(907,276,675,000)	-
40	Net cash flows from financing activities		36,999,791,544,597	5,113,635,555,800

INTERIM CONSOLIDATED CASH FLOW STATEMENT (Continued)
For the nine-month period ended 30 September 2018

Currency: VND

Code	ITEMS	Notes	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
50	Net increase/(decrease) in cash for the period		4,367,046,641,136	(1,843,842,090,216)
60	Cash and cash equivalents at the beginning of the period		1,561,577,770,818	2,802,422,910,160
61	Impact of exchange rate fluctuation		-	-
70	Cash and cash equivalents at the end of the period	4	5,928,624,411,954	958,580,819,944



Phung Thi Bich Hong
Preparer



Bui Thi Ha
Chief Accountant



Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

30 October 2018

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

1. CORPORATE INFORMATION

Vinhomes Joint Stock Company ("the Company"), previously known as Hanoi Southern City Development JSC ("Hanoi Southern JSC"), is a joint stock company established in Vietnam in accordance with the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. In accordance with the 19th amended Enterprise Registration Certificate dated 2 February 2018, Hanoi Southern JSC has changed its business name to Vinhomes Joint Stock Company. The Company subsequently also received amended Enterprise Registration Certificates with the 24th amendment dated 1 October 2018 as the latest.

The principal activities of the Company and its subsidiaries are to develop real estate property for sale, to provide leasing of offices, and to render real estate management and related services.

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam

The Company and its subsidiaries' normal course of business cycle of real estate development activity begins when the Company and its subsidiaries receive investment certificate, carries out land clearance and construction works until the project is completed. Accordingly, the normal course of business cycle of real estate development activity ranges from 12 months to 36 months.

The Company and its subsidiaries' normal course of business cycle of other activities is normally within 12 months.

The number of the Company's employees as at 30 September 2018: 4,346 (31 December 2017: 11).

Seasonality of interim consolidated operations

Due to the nature of real estate business, revenue from rental income and render real estate management service is expected to be stable throughout the year except when the Company and its subsidiaries introduce new investment properties into the market. On the other hand, revenue from sale of residential properties is dependent on the completion of the Company and its subsidiaries' properties projects and on the market conditions at the time these projects are on offering.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

1. CORPORATE INFORMATION (continued)

Corporate structure

As at 30 September 2018, the Company has 20 subsidiaries (31 December 2018: 7 subsidiaries). The information on these subsidiaries, along with the Company's voting rights and equity interest in each subsidiary are as below:

<i>No</i>	<i>Company</i>	<i>Voting right (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>	<i>Principal activities</i>
1	Ecology Development and Investment Joint Stock Company ("Ecology JSC") (*)	99.18	98.76	No. 191 Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
2	Gia Lam Urban Development and Investment Limited Liability Company ("Gia Lam LLC") (*)	99.39	98.16	No. 7 Bang Lang 1 Street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
3	Phu Gia Property Trading Limited Liability Company ("Phu Gia LLC") (*)	98.00	96.79	No. 63 Hang Ga Street, Hang Bo Ward, Hoan Kiem District, Hanoi	Investing, developing and trading real estate properties
4	Vietnam Investment and Consulting Investment Joint Stock Company ("Vietnam Investment JSC") (*)	69.50	68.64	No. 191 Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
5	Prime Land Real Estate Investment Joint Stock Company ("Prime Land JSC") (*)	92.47	92.37	Yen Nhan Village, Tien Phong Commune, Me Linh District, Hanoi	Investing, developing and trading real estate properties
6	Tay Tang Long Real Estate LLC ("Tay Tang Long LLC")	90.00	90.00	No.72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
7	Berjaya Vietnam International University Township ("Berjaya VIUT LLC")	97.90	97.90	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
8	Can Gio Tourist City Corporation ("Can Gio JSC")	99.08	98.94	No.72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
9	Metropolis Hanoi LLC	100.00	100.00	HH land area, Pham Hung Street, Nam Tu Liem District, Hanoi	Investing, developing and trading real estate properties

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

1. CORPORATE INFORMATION (continued)

Corporate structure (continued)

<i>No</i>	<i>Company</i>	<i>Voting right (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>	<i>Principal activities</i>
10	Royal City Real Estate Development and Investment JSC ("Royal City JSC")	57.85	57.85	No. 72A Nguyen Trai Street, Thuong Dinh Ward, Thanh Xuan District, Hanoi	Investing, developing and trading real estate properties
11	Vinpearl Lang Van JSC ("Lang Van JSC") (*)	99.00	95.82	No. 7 Truong Sa Street, Hoa Hai Ward, Ngu Hanh Son District, Da Nang City	Investing, developing and trading real estate properties
12	Phat Loc Commercial Investment Trading LLC ("Phat Loc LLC")	77.96	77.96	No. 127 Dinh Tien Hoang Street, Ward 3, Binh Thanh District, Ho Chi Minh City	Investing, developing and trading real estate properties
13	Berjaya Vietnam Financial Center LLC ("Berjaya VFC LLC")	67.50	67.50	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
14	Thai Son Investment and Construction JSC ("Thai Son JSC")	99.44	99.44	No. 290 Nam Ky Khoi Nghia Street, Ward 8, District 3, Ho Chi Minh City	Investing, developing and trading real estate properties
15	Dat Rong Vang Investment and Construction JSC ("Dat Rong Vang JSC") (*)	100.00	99.44	No. 290 Nam Ky Khoi Nghia Street, Ward 8, District 3, Ho Chi Minh City	Investing, developing and trading real estate properties
16	West Hanoi Urban Development and Trading Investment JSC ("West Hanoi JSC") (*)	100.00	99.44	T4-L2-10 Times City, No. 458 Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
17	Millenium Trading Investment and Development LLC ("Millenium LLC")	100.00	100.00	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
18	GS Cu Chi Development JSC	100.00	100.00	No 60A Truong Son, Ward 2, District Tan Binh, Ho Chi Minh No	Investing, developing and trading real estate properties

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

1. CORPORATE INFORMATION (continued)

Corporate structure (continued)

<i>No</i>	<i>Company</i>	<i>Voting right (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>	<i>Principal activities</i>
19	Vincom Construction and Consultant LLC	100.00	100.00	No. 7 Bang Lang 1 Street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
20	An Phat Trading and Commercial Development Co., Ltd	100,00	100,00	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties

(*) The equity interest in these subsidiaries differs from voting right since the Company controls over these subsidiaries indirectly through other subsidiaries.

(**) As at the date of these financial statements, Phu Gia is preparing for dissolution procedures.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

2. BASIS OF PREPARATION

2.1 Purpose of preparing the interim consolidated financial statements

The Company has subsidiaries as disclosed in Note 1. The Company has prepared the interim consolidated financial statements of the Company to meet the prevailing requirements in relation to:

- ▶ disclosure of information, specifically the Circular No. 155/2015/TT-BTC on disclosure of information on the securities market; and
- ▶ Documents for stock dividends under Circular No. 162/2015/TT-BTC on the public offering, shares swap, issuance of additional shares, repurchase of shares, sale of treasury shares and tender offer.

2.2 Accounting standards and system

The interim consolidated financial statements of the Company and its subsidiaries, which are expressed in Vietnam dong ("VND"), are prepared in accordance with Vietnamese Enterprise Accounting System and Vietnamese Accounting Standards issued by the Ministry of Finance as per:

- ▶ Decision No. 149/2001/QĐ-BTC dated 31 December 2001 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 1);
- ▶ Decision No. 165/2002/QĐ-BTC dated 31 December 2002 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 2);
- ▶ Decision No. 234/2003/QĐ-BTC dated 30 December 2003 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 3);
- ▶ Decision No. 12/2005/QĐ-BTC dated 15 February 2005 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 4); and
- ▶ Decision No. 100/2005/QĐ-BTC dated 28 December 2005 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 5).

Accordingly, the accompanying interim consolidated financial statements, including their utilisation are not designed for those who are not informed about Vietnam's accounting principles, procedures and practices and furthermore are not intended to present the interim consolidated financial position and interim consolidated results of operations and interim consolidated cash flows in accordance with accounting principles and practices generally accepted in countries other than Vietnam.

2.3 Applied accounting documentation system

The Company and its subsidiaries' applied accounting documentation system is the General Journal.

2.4 Fiscal year

The Company and its subsidiaries' fiscal year applicable for the preparation of its consolidated financial statements starts on 1 January and ends on 31 December.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

2. BASIS OF PREPARATION (continued)

2.5 Accounting currency

The interim consolidated financial statements are prepared in VND which is also the Company's accounting currency.

2.6 Basis of consolidation

The interim consolidated financial statements comprise the interim financial statements of the Company and its subsidiaries for the nine-month period ended 30 September 2018.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Company obtains control, and continued to be consolidated until such control ceases, except when the Company only obtains temporary control and the subsidiary is acquired with a view of resale within 12 months from acquisition.

The interim financial statements of subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies.

All intra-company balances, income and expenses and unrealised gains or losses result from intra-company transactions are eliminated in full.

Non-controlling interests represent the portion of profit or loss and net assets of subsidiaries not held by the Company and are presented separately in the interim consolidated income statement and within equity in the interim consolidated balance sheet.

Impact of change in the ownership interest of a subsidiary, without a loss of control, is recorded in undistributed earnings.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an associate, the Company's investment is accounted for using the equity method of accounting. Profit/loss from this transaction is recognised in the interim consolidated income statement.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an investment in other entities, the Company's investment is accounted for using the cost method. Profit/loss from this transaction is recognised in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, cash at banks and short-term, highly liquid investments with an original maturity of not longer than three months that are readily convertible into known amounts of cash and that are subject to an insignificant risk of change in value.

3.2 Inventories

Inventories are stated at the lower of cost incurred in bringing each product to its present location and condition, and net realisable value.

Net realisable value ("NRV") represents the estimated selling price in the ordinary course of business less the estimated costs to complete and the estimated costs necessary to make the sale.

Inventory property

Property acquired or being constructed for sale in the ordinary course of business, rather than to be held for rental or capital appreciation, is held as inventory property and is measured at the lower of cost and NRV.

Cost includes:

- ▶ Freehold and leasehold and development rights for land;
- ▶ Amounts payable/paid to contractors for construction; and
- ▶ Borrowing costs, planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, construction overheads and other related costs.

Net realisable value is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less costs to completion and the estimated costs of sale.

The cost of inventory property recognised in the interim consolidated income statement on disposal is determined with reference to the specific costs incurred on the property sold and an allocation of any non-specific costs based on the relative size of the property sold.

Provision for obsolete inventories

An inventory provision is created for the estimated loss arising due to the impairment of value (through diminution, damage, obsolescence, etc.) of raw materials, finished goods, and other inventories owned by the Company and its subsidiaries, based on appropriate evidence of impairment available at the interim balance sheet date.

Increases or decreases to the provision balance are recorded into the cost of goods sold account in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.3 Receivables

Receivables are presented in the interim consolidated financial statements at the carrying amounts due from customers and other debtors, after provision for doubtful debts.

The provision for doubtful debts represents amounts of outstanding receivables at the interim balance sheet date which are doubtful of being recovered. Increases or decreases to the provision balance are recorded as general and administrative expense in the interim consolidated income statement.

3.4 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation.

The cost of a tangible fixed asset comprises its purchase price and any directly attributable costs of bringing the tangible fixed asset to working condition for its intended use.

Expenditures for additions, improvements and renewals are added to the carrying amount of the assets and expenditures for maintenance and repairs are charged to the interim consolidated income statement as incurred.

When tangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.5 Leased assets

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset and the arrangement conveys a right to use the asset.

A lease is classified as a finance lease whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the asset to the lessee. All other leases are classified as operating leases.

Where the Company and its subsidiaries are the lessors

The net investment under finance lease contracts is included as a receivable in the interim consolidated balance sheet. The interest amount of the leased payments are recognised in the interim consolidated income statement over the period of the lease contracts to achieve a constant rate of interest on the net investment outstanding.

Assets subject to operating leases are presented as investment properties in the interim consolidated balance sheet. Initial direct costs incurred in negotiating an operating lease are recognised in the interim consolidated income statement as incurred.

Lease income is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Where the Company and its subsidiaries are the lessees

Rentals under operating leases are charged to the interim consolidated income statement on a straight-line basis over the lease term.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.6 Intangible fixed assets

Intangible fixed assets are stated at cost less accumulated amortisation.

The cost of an intangible fixed asset comprises its purchase price and any directly attributable costs of preparing the intangible fixed asset for its intended use.

Expenditures for additions, improvements are added to the carrying amount of the assets and other expenditures are charged to the interim consolidated income statement as incurred.

When intangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.7 Depreciation and amortisation

Depreciation of tangible fixed assets and amortisation of intangible fixed assets are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Buildings and structures	44 - 47 years
Machinery and equipment	5 - 10 years
Means of transportation	6 - 9 years
Office equipment	3 - 5 years
Copyrights	5 - 10 years
Computer software	3 - 5 years
Others	2 - 5 years

3.8 Investment properties

Investment properties are stated at cost including transaction costs less accumulated depreciation.

Subsequent expenditure relating to an investment property that has already been recognised is added to the net book value of the investment property when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing investment property, will flow to the Company and its subsidiaries.

Depreciation of investment properties are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Definite land use right	45 - 49 years
Buildings and structures	27 - 50 years
Machinery and equipment	7 - 10 years

The Company and its subsidiaries do not amortise indefinite land use rights presented as investment properties.

Investment properties are derecognised when either they have been disposed of or when the investment properties are permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the assets is recognised in the interim consolidated income statement in the period of retirement or disposal.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.8 *Investment properties* (continued)

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale. The transfer from investment property to owner-occupied property or inventories does not change the cost or the carrying value of the property for subsequent accounting at the date of change in use.

3.9 *Borrowing costs*

Borrowing costs consist of interest and other costs that the Company and its subsidiaries incur in connection with the borrowing of funds.

Borrowing costs are recorded as expense during the period in which they are incurred, except to the extent that borrowing costs that are directly attributable to the acquisition, construction or production of an asset that necessarily take a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective asset.

3.10 *Prepaid expenses*

Prepaid expenses are reported as short-term or long-term prepaid expenses on the interim consolidated balance sheet and amortised over the period for which the amounts are paid or the period in which economic benefits are generated in relation to these expenses.

Short-term prepaid expenses include commission fees for selling apartments, villas and shophouses, provisional corporate income tax for downpayments from customers for the purchase of apartments, villas and shophouses at the Company and its subsidiaries' real estate projects and other prepaid expenses that are expected to generate future economic benefit within one ordinary course of business cycle.

Long-term prepaid expenses include pre-operation expenditure, tools and supplies, long-term prepaid land rental and other prepaid expenses that generate future economic benefits for more than one year.

Prepaid land rental

The prepaid land rental represents the remaining unamortised balance of advance payment made in accordance with the lease contract signed with the authorities. Such prepaid rental is recognised as a long-term prepaid expense and is amortised to the interim consolidated income statement over the remaining lease period according to Circular 45/2013/TT-BTC. Besides, prepaid land rental also comprises land lease incurred from business combination, in which, the acquiree is a lessee under operating leases with favourable lease terms compared with the fair value at the date of business combination.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.11 Business combinations and goodwill

Business combinations are accounted for using the purchase method. The cost of a business combination is measured as the fair value of assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange plus any costs directly attributable to the business combination. Identifiable assets and liabilities and contingent liabilities assumed in a business combination are measured initially at fair values at the date of business combination.

Goodwill acquired in a business combination is initially measured at cost being the excess of the cost the business combination over the Company and its subsidiaries' interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities. If the cost of a business combination is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the interim consolidated income statement. After initial recognition, goodwill is measured at cost less any accumulated amortisation. Goodwill is amortised over 10-year period on a straight-line basis. The Company and its subsidiaries conduct the periodical review for impairment of goodwill of investment in subsidiaries. If there are indicators of impairment loss incurred is higher than the yearly allocated amount of goodwill on the straight-line basis, the higher amount will be recorded in the interim consolidated income statement.

Business combinations involving entities or businesses under common control

Business combinations involving entities or businesses under common control are accounted for as follows:

- ▶ The assets and liabilities of the two combined entities are reflected at their carrying amounts on the date of business combination;
- ▶ No goodwill is recognised from the business combination;
- ▶ The interim consolidated income statement reflects the results of the combined entities from the date of the business combination; and
- ▶ Any difference between the consideration paid and the net assets of the acquiree is recorded in equity.

After the date of business combination, if the Company and its subsidiaries transfer and lose control of investment in these entities, the difference between the cost of a business combination and net assets, which was previously recognised in owners' equity, is recognised in the interim consolidated income statement.

3.12 Assets acquisitions and business combinations

The Company and its subsidiaries acquire subsidiaries that own assets and production activities. At the date of acquisition, the Company and its subsidiaries consider whether the acquisition represents the acquisition of a business. The Company and its subsidiaries accounts for an acquisition as a business combination where an integrated set of activities is acquired in addition to the assets.

When the acquisition of subsidiaries does not represent a business combination, it is accounted for as an acquisition of a group of assets and liabilities. The cost of the acquisition is allocated to the assets and liabilities acquired based upon their relative fair values, and no goodwill or deferred tax is recognised.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.12 Assets acquisitions and business combinations (continued)

In case prior to the date that control is obtained, the investment is an investment in associate or a long-term investment and the acquisition of the subsidiary is not a business combination, when preparing the interim consolidated financial statements, the parent company shall not remeasure the previously held equity interests. Instead previously held equity interests at carrying value and the consideration were allocated to the assets and liabilities acquired based on their relative fair values on acquisition date.

3.13 Investments

Investments in associates

The Company and its subsidiaries' investment in their associate is accounted for using the equity method of accounting. An associate is an entity in which the Company and its subsidiaries have significant influence that is neither subsidiaries nor joint ventures. The Company and its subsidiaries generally deem they have significant influence if they have over 20% of the voting rights.

Under the equity method, the investment is carried in the interim consolidated balance sheet at cost plus post acquisition changes in the Company and its subsidiaries' share of net assets of the associate. Goodwill arising on acquisition of the associate is included in the carrying amount of the investment. Goodwill is not amortised and subject to annual review for impairment by the Company and its subsidiaries. The interim consolidated income statement reflects the share of the post-acquisition results from operation of the associate.

The share of post-acquisition profit/(loss) of the associates is presented on face of the interim consolidated income statement and its share of post-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. Dividend/profit sharing received or receivable from associates reduces the carrying amount of the investment.

The financial statements of the associates are prepared for the same reporting period and use the same accounting policies as the Company and its subsidiaries. Where necessary, adjustments are made to bring the accounting policies in line with those of the Company and its subsidiaries.

Held-for-trading securities and investments in other entities

Held-for-trading securities and investments in other entities are stated at their acquisition costs.

Provision for diminution in value of the held-for-trading securities and investments in entities

Provision is made for any diminution in value of the held-for-trading securities and investments in entities at the interim balance sheet date in accordance with the guidance under the Circular No. 228/2009/TT-BTC dated 7 December 2009 and Circular No. 89/2013/TT-BTC dated 28 June 2013 issued by the Ministry of Finance. Increases or decreases to the provision balance are recorded as finance expense in the interim consolidated income statement.

Held-to-maturity investments

Held-to-maturity investments are initially stated at their acquisition costs. After initial recognition, held-to-maturity investments are measured at recoverable amount. Any impairment loss incurred is recognised as finance expense in the interim consolidated income statements and deducted against the value of such investments.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.14 Payables and accruals

Payables and accruals are recognised for amounts to be paid in the future for goods and services received, whether or not billed to the Company and its subsidiaries. Payables to construction contractors are recognised for amounts certified by the construction work certificate signed with contractors, whether or not billed to the Company and its subsidiaries.

3.15 Provisions

General provision

Provisions are recognised when the Company and its subsidiaries have a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

When the Company and its subsidiaries expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the interim consolidated income statement net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pretax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance expense.

Warranty provision for apartments and villas

The Company and its subsidiaries estimate provision for warranty expenses based on revenues and available information about the repair of inventory property sold in the past.

3.16 Foreign currency transactions

Transactions in currencies other than the Company and its subsidiaries' reporting currency of VND are recorded at the actual transaction exchange rates at transaction dates which are determined as follows:

- ▷ Transactions resulting in receivables are recorded at the buying exchange rates of the commercial banks designated for collection;
- ▷ Transactions resulting in liabilities are recorded at the selling exchange rates of the commercial banks designated for payment; and
- ▷ Payments for assets or expenses without liabilities initially being recognised is recorded at the buying exchange rates of the commercial banks that process these payments or at the average of buying and selling exchange rates of the commercial bank where the Company and its subsidiaries make payment regularly.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.16 Foreign currency transactions (continued)

At the end of the reporting period, monetary balances denominated in foreign currencies are translated at the actual transaction exchange rates at the interim balance sheet dates which are determined as follows:

- Monetary assets are translated at buying exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly; and
- Monetary liabilities are translated at selling exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly or at the average of buying and selling exchange rates of the commercial bank where the Company and its subsidiaries make payment regularly.

All foreign exchange differences incurred during the period and arisen from the translation of monetary accounts denominated in foreign currency at period-end are taken to the interim consolidated income statement.

3.17 Appropriation of net profits

Net profit after tax (excluding negative goodwill arising from a bargain purchase) is available for appropriation to investors/shareholders after approval by the annual general shareholder meeting, and after making appropriation to reserve funds in accordance with the Company's Charter and Vietnam's regulatory requirements.

3.18 Advances from customers

Payments received from customers as deposits for purchasing apartments, villas and shophouses in the future, that do not meet the conditions for revenue recognition, are recognised and presented as "Advances from customers" in the liability section in the interim consolidated balance sheet. Incentives under promotion programs which are, in substance, revenue deductions are offset against account "Advance from customers" which are not qualified to be recognised as revenue for the period.

3.19 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and its subsidiaries and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, excluding trade discount, rebate and sales return. The following specific recognition criteria must also be met before revenue is recognised:

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.19 Revenue recognition (continued)

Revenue from sale of inventory property

Revenue from sale of inventory property is recognised when the significant risks and rewards incident to ownership of the properties have been passed to the buyer.

Revenue from sale of inventory property also includes long-term lease of investment property qualified for recognition of outright sales. If the lease term is greater than 90% of the asset's useful life, the Company and its subsidiaries recognise the revenue for the entire prepaid lease payment if all following conditions are met:

- ▶ Lessee is not allowed to cancel the lease contract during the lease term, and the lessor is not responsible for reimbursing the prepaid lease payments under any circumstances;
- ▶ The prepaid lease payment is not less than 90% of the total estimated lease payment collected under contract over the lease period and lessee must pay all rental within 12 months from the commencement of the lease;
- ▶ Almost all risks and rewards associated with the ownership of leased assets are transferred to the lessee; and
- ▶ Lessor must estimate the full cost of leasing activity.

Rental income

Rental income arising from operating lease of properties is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Rendering services

Revenue from rendering service is recognised when service is rendered for customers.

Interest

Income is recognised as the interest accrues (taking into account the effective yield on the asset) unless collectability is in doubt.

Dividends

Income is recognised when the Company and its subsidiaries' entitlement as an investor to receive the dividend is established.

Income from securities trading and capital transfer

Income from securities trading and capital transfer is determined as the excess of selling prices against the cost of securities sold. This income is recognised on date when the transaction arises, that is when the transfer contract is exercised.

Income from Business Cooperation Contracts in which the Company is entitled to profit before tax

Income from the profit before tax of real estate business under Business Cooperation Contracts is recognised as finance income in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.20 Taxation

Current income tax

Current income tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted as at the interim consolidated balance sheet date.

Current income tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the current income tax is also dealt with in equity.

Current income tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to offset current tax assets against current tax liabilities and when the Company and its subsidiaries intend to settle their current tax assets and liabilities on a net basis.

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the interim balance sheet date between the tax base of assets and liabilities and their carrying amount for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences, except :

- ▶ where the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the related transaction affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of taxable temporarily differences associated with investments in subsidiaries and associates, and interests in joint ventures where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credit and unused tax losses, to the extent that it is probable that taxable profit will be available against which deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilised, except:

- ▶ where the deferred tax asset in respect of deductible temporary difference which arises from the initial recognition of an asset or liability which at the time of the related transaction, affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of deductible temporarily differences associated with investments in subsidiaries, associates, and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at interim balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Previously unrecognised deferred tax assets are re-assessed at interim balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.20 Taxation (continued)

Deferred tax (continued)

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled based on tax rates and tax laws that have been enacted at the interim balance sheet date.

Deferred tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the deferred tax is also dealt with in the equity account.

Deferred tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to off-set current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority on:

- ▶ either the same taxable entity; or
- ▶ when the Company and its subsidiaries intend either settle current tax liabilities and assets on a net basis or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

3.21 Earnings per share

Basic earnings per share amounts are calculated by dividing net profit/(loss) after tax for the period attributable to ordinary shareholders of the Company (after adjusting for the bonus and welfare fund) by the weighted average number of ordinary shares outstanding during the period.

Diluted earnings per share amounts are calculated by dividing the net profit after tax attributable to ordinary equity holders of the Company (after adjusting for interest on the convertible preference shares) by the weighted average number of ordinary shares outstanding during the period plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

3.22 Segment information

A segment is a component determined separately by the Company and its subsidiaries which is engaged in providing products or related services (business segment), that is subject to risks and returns that are different from those of other segments.

Real estate trading and related services are principal sources of revenue and profit of the Company and its subsidiaries, while revenue from other activities accounts for a minimal portion in the Company and its subsidiaries' total revenue. Therefore, management is of the view that there is only one segment for business. In addition, management defines the Company and subsidiaries's geographical segments to be based on the location of the assets which is in Vietnam.

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3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.23 Related parties

Parties are considered to be related parties of the Company and its subsidiaries if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, or when the Company and its subsidiaries and other party are under common control or under common significant influence. Related parties can be enterprise or individual, including close members of the family of any such individual.

3.24 Demerger

Demerger where the Company is the demerged company is conducted as follows:

- ▶ Assets, liabilities transferred to the new company is deducted to the respective items in the interim consolidated balance sheet by the carrying value at the date of demerger;
- ▶ Difference between assets and liabilities transferred to the new company is deducted to equity in the interim consolidated balance sheet; and
- ▶ No gain or loss is recognised for the demerger transaction.

4. CASH AND CASH EQUIVALENTS

	<i>Currency: VND</i>	
	<i>30 September 2018</i>	<i>31 December 2017</i>
Cash on hand	3,386,258,104	159,912,175
Cash at banks	2,039,070,273,595	815,874,983,916
Cash in transit	-	2,306,504,160
Cash equivalents	<u>3,886,167,880,254</u>	<u>743,236,370,567</u>
TOTAL	<u>5,928,624,411,953</u>	<u>1,561,577,770,818</u>

Cash equivalents as at 30 September 2018 comprises bank deposits in VND with term ranging from 1 month to 3 months, earning interests ranging from 4.1 – 6.1% per annum (as at 31 December 2017: 4.2 – 5.5% per annum).

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
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5. HELD TO MATURITY INVESTMENTS

Currency: VND

	30 September 2018		31 December 2017	
	Cost	Carrying value	Cost	Carrying value
Deposits (i)	1,193,862,323,632	1,193,862,323,632	-	-
TOTAL	1,193,862,323,632	1,193,862,323,632	-	-

(i) Short-term bank deposits in VND as at 30 June 2018 have terms ranging from more than 6 months to 13 months and earning interest rates ranging from 6.0% to 7.1% per annum.

6. TRADE RECEIVABLES AND ADVANCES TO SUPPLIERS

6.1 Short-term trade receivables

Currency: VND

	30 September 2018	31 December 2017
Sale of inventory properties	3,524,867,328,563	852,651,790,464
Leasing activities and rendering related services	78,950,852,598	256,082,095,444
Rendering real estate management services	696,872,112,143	-
Disposal of investments	-	10,836,643,891,478
Sale of inventory properties	309,788,353,526	-
TOTAL	4,610,478,646,830	11,945,377,777,386
<i>In which:</i>		
Trade receivables from other parties	4,082,251,645,164	2,074,306,433,306
Trade receivables from related parties (Note 32)	528,227,001,666	9,871,071,344,080

6.2 Short-term advances to suppliers

Currency: VND

	30 September 2018	31 December 2017
Advances to other suppliers	6,346,371,631,442	1,587,118,313,431
- Hanoi Finance Department	2,662,800,000,000	-
- Land Fund Development Center of Gia Lam District	1,569,144,655,821	792,312,969,328
- Land Fund Development Center Hanoi	696,897,009,637	-
- Others	1,417,529,965,984	794,805,344,103
Advances to related parties (Note 32)	132,568,749,035	108,076,582,716
TOTAL	6,478,940,380,477	1,695,194,896,147
Provision for doubtful advances to suppliers	(17,788,923,249)	(2,400,000,000)

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

7. SHORT-TERM LOAN RECEIVABLES

Currency: VND

	30 September 2018	31 December 2017
Loans to individuals (i)	3,754,600,000,000	6,771,028,571,429
Loans to related parties (Note 32)	12,650,000,000,000	2,684,000,000,000
Current portion of loan receivables (ii)	19,999,942,002	21,999,942,002
TOTAL	16,424,599,942,002	9,477,028,513,431
Provisions for doubtful loan receivables	(67,643,669,305)	(67,643,669,305)

(i) Balance as at 30 September 2018 mainly comprises loans to corporate counterparties and individuals with terms ranging from 6 to 12 months, earning interest rate at 8% per annum, guaranteed by a number of shares and a portion of the capital contributed by the borrowers.

(ii) These lendings are secured by assets at commercial outlets of these corporate counterparties.

8. OTHER RECEIVABLES

Currency: VND

	30 September 2018	31 December 2017
Short-term		
Deposit for investment purpose (i)	19,675,000,000,000	-
Receivables from Business Co-operation Contracts (ii)	995,689,135,900	-
Interest income on loans, deposits	779,036,640,294	445,998,056,165
Receivables from centralised cash flow management accounts	1,086,499,801,941	53,070,861,526
Short-term deposits, mortgage	455,335,398,743	56,767,160,790
Receivables from payment on behalf	295,384,293,347	1,171,219,218,346
Receivables from disposal of an investment (iii)	3,480,000,000,000	-
Others	1,262,641,149,139	28,807,389,320
TOTAL	28,029,586,419,364	1,755,862,686,147
<i>In which:</i>		
Receivables from other parties	17,870,661,204,516	1,610,486,942,318
Receivables from related parties (Note 32)	10,158,925,214,848	145,375,743,829
Provision for doubtful other short-term receivables	(28,705,000,000)	(28,705,000,000)
<i>In which:</i>		
Long-term		
Deposit for investment purpose	73,356,827,000	-
Others	65,012,140,335	84,480,824,736
TOTAL	138,368,967,335	84,480,824,736

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

8. OTHER RECEIVABLES (continued)

- (i) Include some deposits for business partners for the purpose of investing in the development of some real estate projects under investment and business cooperation contracts; in which there is one deposit is secured by a number of shares in this business partner.
- (ii) Balance as at 30 September 2018 represents receivables for profit distributed from Business Co-operation Contracts, these receivables are subsequently received in cash at the reporting date.
- (iii) This represent a receivable from transfer of shares purchase rights of a real estate company, it has been collected in cash at the date of these financial reporting.

9. BAD DEBTS

The Company and its subsidiaries' bad debts include overdue loan principals and interests receivable from corporate counterparties:

Currency: VND

<i>Debtor</i>	<i>30 September 2018</i>		<i>31 December 2017</i>	
	<i>Cost</i>	<i>Recoverable amount</i>	<i>Cost</i>	<i>Recoverable amount</i>
Corporate counterparties	197,317,167,672	83,179,575,118	106,704,942,000	7,956,272,695
TOTAL	197,317,167,672	83,179,575,118	106,704,942,000	7,956,272,695

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

10. INVENTORIES

Currency: VND

	<u>30 September 2018</u>		<u>31 December 2017</u>	
	<i>Cost</i>	<i>Provision</i>	<i>Cost</i>	<i>Provision</i>
Inventory properties under construction (i)	36,121,789,331,236	(14,288,891,832)	14,730,736,924,868	(78,720,193,331)
Inventories acquired for sales (ii)	1,416,270,322,582	(62,202,519,472)	2,418,908,952,989	(131,131,232,245)
Inventories for retail outlets	-	-	115,615,927,880	(49,258,453,411)
Work in progress of construction	462,032,132,707	-	-	-
Others	392,703,755,321	-	107,750,242	-
TOTAL	<u>38,392,795,541,846</u>	<u>(76,491,411,304)</u>	<u>17,265,369,555,979</u>	<u>(259,109,878,987)</u>

(i) Mainly includes construction and development costs for apartments, villas, office, school, hotel and shopping malls of Vinhomes Green Bay, Vinhomes Metropolis, Vinhomes Golden River, VinCity Gia Lam, VinCity Park, Vinhomes Westpoint and Vinhomes Central Park projects.

(ii) Mainly includes villas acquired for sales of Vinhomes Riverside and Vinhomes Thang Long projects.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

11. PREPAID EXPENSES

Currency: VND

	30 September 2018	31 December 2017
Short-term		
Selling expenses related to apartments not yet handed over	792,392,024,583	607,480,080,694
Provisional corporate income tax	117,192,419,305	173,135,075,150
Others	77,766,683,259	5,554,314,620
TOTAL	987,351,127,147	786,169,470,464
Long-term		
Prepaid land rental (i)	368,674,631,656	378,947,299,410
Prepaid villas rental	34,955,624,900	-
Tools and supplies	25,013,734,148	13,531,226,142
Leasing commission	53,927,836,992	36,338,029
TOTAL	482,571,827,696	392,514,863,581

(i) These are land rental rights for Ecology JSC's shopping malls operating under Business Co-operation Contract.

12. OTHER ASSETS

Currency: VND

	30 September 2018	31 December 2017
Short-term		
Deposits for investment purpose (i)	5,144,141,085,139	10,000,000,000
Electrical equipment systems (ii)	229,987,102,653	196,578,466,985
TOTAL	5,374,128,187,792	206,578,466,985
<i>In which:</i>		
Deposits for other parties	974,871,602,653	206,578,466,985
Deposits for related parties (Note 32)	4,399,256,585,139	-
Long-term		
Deposits for investment purpose (i)	1,575,216,958,712	-
Deposits for trading purpose (iii)	1,032,349,277,786	-
TOTAL	2,607,566,236,498	-
<i>In which:</i>		
Deposits for other parties	1,032,336,527,786	-
Deposits for related parties (Note 32)	1,575,229,708,712	-

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
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12. OTHER CURRENT ASSETS (continued)

- (i) Present deposits for business partners to purchase shares / share capital and receive transfer / cooperation in the development of some real estate projects.
- (ii) This is electrical equipment system which will be transferred to Hanoi City Power Corporation.
- (iii) Unsecured deposits to a corporate counterparty earning interest rate which is determined by 12-month interest (paid in arrears) VND saving rate of Joint Stock Commercial Bank for Foreign Trade of Vietnam, adjusted each 3-month. The deposit and interest will be used as settlement for 10% of contract value under separate contracts between the Company and its subsidiaries and this corporate counterparty.

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13. TANGIBLE FIXED ASSETS

Currency: VND

Cost:	Buildings and structures	Machinery and equipment	Means of transportation	Office equipment	Others	Total
Beginning balance	1,180,896,945,732	194,648,470,255	3,019,235,970	72,665,527,548	-	1,451,230,179,505
Newly purchased and transferred from construction in progress						
Addition from merger and acquisition	238,600,940,217	51,268,397,478	2,726,019,029	89,627,275	1,082,528,181	293,767,512,180
Sold, disposal	37,255,208	19,606,169,448	83,570,534,916	2,541,236,462	11,015,399,907	116,770,595,941
Disposal of subsidiary	(682,990,660,826)	(99,715,104,839)	(4,699,448,314)	-	-	(787,405,213,979)
Transfer to investment properties	(88,409,333,386)	(141,410,999)	-	(71,544,587,432)	-	(160,095,331,817)
Ending balance	(409,496,951,520)	(88,797,998,123)	-	-	-	(498,294,949,643)
	238,638,195,425	76,868,523,220	84,616,341,601	3,751,803,853	12,097,928,088	415,972,792,187
Accumulated depreciation:						
Beginning balance	82,403,234,947	42,234,501,855	3,019,235,970	26,638,587,124	-	154,295,559,896
Depreciation for the period	8,019,720,878	7,828,736,861	2,488,933,547	89,717,495	3,875,312,037	22,302,420,818
Addition from merger	17,344,203	12,128,812,088	11,861,276,088	1,808,183,695	2,485,552,006	28,301,168,080
Sold, disposal	(44,078,654,084)	(24,070,048,213)	(715,902,772)	-	-	(68,864,605,069)
Disposal of subsidiary	(34,175,873,896)	(13,819,993)	-	(27,344,402,369)	-	(61,534,096,258)
Transfer to investment properties	(10,103,296,311)	(14,791,840,057)	-	-	-	(24,895,126,368)
Ending balance	2,082,485,737	23,316,342,541	16,653,542,833	1,192,085,945	6,360,864,043	49,605,321,099
Net carrying amount:						
Beginning balance	1,098,493,710,785	152,413,968,400	-	46,026,940,424	-	1,296,934,619,609
Ending balance	236,555,709,688	53,552,180,679	67,962,798,768	2,559,717,908	5,737,064,045	366,367,471,088

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14. INVESTMENT PROPERTIES

Currency: VND

	Buildings and structures	Land use rights	Infrastructures	Machinery and equipment	TOTAL
Cost:					
Beginning balance	149,492,371,864	-	-	46,727,731,933	196,220,103,797
Construction completed	706,825,519,948	99,009,876,424	-	126,954,292,712	932,789,689,084
Addition from merger and acquisition	2,925,586,526,397	2,586,662,351,866	469,630,242,366	92,050,559,938	6,073,929,680,567
Sold, disposal	(303,629,640,050)	(1,120,693,844,739)	-	-	(1,424,323,484,789)
Reclassification	363,832,745,320	45,664,206,200	-	88,797,998,123	498,294,949,643
Other decreases	(53,300,778,417)	-	-	-	(53,300,778,417)
Ending balance	3,788,806,745,062	1,610,642,589,751	469,630,242,366	354,530,582,706	6,223,610,159,885
Accumulated depreciation:					
Beginning balance	12,413,975,718	-	-	20,767,880,876	33,181,856,594
Depreciation for the period	36,106,964,103	18,223,691,927	7,923,317,767	12,999,349,025	75,253,322,822
Addition from merger and acquisition	187,098,842,288	64,790,503,017	85,317,091,487	1,301,354,834	338,507,791,626
Sold, disposal	(7,622,951,640)	-	-	-	(7,622,951,640)
Reclassification	10,103,286,311	-	-	14,791,840,057	24,895,126,368
Other decreases	(556,920,656)	-	-	-	(556,920,656)
Ending balance	237,543,196,124	83,014,194,944	93,240,409,254	49,860,424,792	463,658,225,114
Net carrying amount:					
Beginning balance:	137,078,396,146	-	-	25,959,851,058	163,038,247,204
Ending balance:	3,551,263,548,938	1,527,628,394,807	376,389,833,112	304,670,157,914	5,759,951,934,771

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15. CAPITALISED BORROWING COSTS

During the period, the Company and its subsidiaries capitalised borrowing costs with an amount of approximately VND289 billion (for the nine-month period ended 30 September 2017: VND46 billion). These borrowing costs mainly related to specific borrowings obtained to finance the construction of Vinhomes Central Park, Vinhomes Green Bay, VinCity Gia Lam, VinCity Sportia, and Vinhomes Metropolis projects. The capitalised borrowing costs are determined by applying a capitalisation rate from 7% per annum to 10.03% per annum (for the six-month period ended 30 September 2017: 7%).

16. CONSTRUCTION IN PROGRESS

Currency: VND

	30 September 2018	31 December 2017
Vinhomes Long Beach Can Gio	12,368,641,076,429	-
VinCity Ocean Park	852,180,710,357	1,566,693,795,705
Vinhomes West Point	430,622,075,334	-
Golf Course Leman	1,654,065,538,702	-
Vinhomes Ky Hoa	1,076,527,020,596	-
Vinhomes Me Linh	634,994,590,003	636,534,654,499
Vinhomes Golden River	625,060,742,706	-
Vinhomes Lang Vn	508,073,431,642	-
VinCity Sportia	1,125,592,405,012	-
Vinhomes New center Ha Tinh	159,151,200,374	-
Vinhomes Green Bay	150,538,732,461	192,252,033,947
Vinhomes Thăng Long	-	51,292,959,544
Others	245,061,441,336	15,282,099,346
	<u>19,830,508,964,952</u>	<u>2,462,055,543,041</u>

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17. LONG-TERM INVESTMENTS

Currency: VND

	<u>30 September 2018</u>		<u>31 December 2017</u>	
	<i>Cost</i>	<i>Provision</i>	<i>Cost</i>	<i>Provision</i>
Investments in associates	-	-	9,443,697,124	-
Investments in other entities	22,223,000,000	-	1,695,528,410,000	-
Held-to-maturity investments (i)	50,000,000,000	-	50,000,000,000	-
TOTAL	72,223,000,000	-	1,754,972,107,124	-

- (i) As at 30 September 2018, the balance represents the investment in bonds of Joint Stock Commercial Bank for Foreign Trade of Vietnam with term of 120 months from 25 November 2016 and earning interest rate of 7.57% per annum for the first year. Interest rate from the following years would be 12-month individual saving interest (+) 1% per annum.

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18. GOODWILL

	Goodwill arising from acquisition of Ecology JSC	Goodwill arising from acquisition of Vietnam Investment JSC	Goodwill arising from acquisition of Gia Lam LLC	Goodwill arising from acquisition of Phu Gia LLC	Goodwill arising from acquisition of Phat Loc LLC	Goodwill arising from acquisition of Tan Lien Phat JSC	Goodwill arising from acquisition of Virhomes Management JSC	Goodwill arising from acquisition of Millenium LLC	Currency: VND
Cost:									TOTAL
Beginning balance	369,866,854,773	288,148,907,591	1,235,307,223	40,344,641,425	-	-	-	-	699,595,711,012
Addition resulting from acquisition of subsidiaries	-	-	-	-	83,741,412,923	337,766,778,506	30,259,333,777	153,044,574,162	604,812,099,368
Ending balance	369,866,854,773	288,148,907,591	1,235,307,223	40,344,641,425	83,741,412,923	337,766,778,506	30,259,333,777	153,044,574,162	1,304,407,810,380
Accumulated amortisation:									
Beginning balance	38,456,456,826	29,999,064,352	128,607,327	4,200,264,040	-	-	-	-	72,784,392,545
Amortisation for the period	27,714,243,493	21,551,959,390	92,394,211	3,017,558,111	4,909,770,511	22,394,400,109	2,006,235,281	5,115,462,480	86,802,023,586
Ending balance	66,170,700,319	51,551,023,742	221,001,538	7,217,822,151	4,909,770,511	22,394,400,109	2,006,235,281	5,115,462,480	159,586,416,131
Net carrying amount:									
Beginning balance	331,410,397,947	258,149,843,239	1,106,699,896	36,144,377,385	-	-	-	-	626,811,318,467
Ending balance	303,696,154,454	236,597,883,849	1,014,305,685	33,126,819,274	78,831,642,412	315,372,378,397	28,253,098,496	147,929,111,682	1,144,821,394,249

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19. SHORT-TERM TRADE PAYABLES AND ADVANCES FROM CUSTOMERS

19.1 Short-term trade payables

Currency: VND

	<i>Balance (Amount payable)</i>	
	<i>30 September 2018</i>	<i>31 December 2017</i>
Short-term trade payables	2,216,953,998,163	629,985,256,556
- A corporate counterparty rendering construction service	431,599,989,690	66,222,458,251
- Delta-V Contech Corporation	229,229,416,538	-
- Hoa Binh Construction JSC	86,482,256,089	-
- Delta-V Contech JSC	202,863,772,025	-
-	-	-
Lanmak Real Estate Construction Investment JSC	25,732,675,505	100,785,912,863
- A corporate counterparty rendering real estate management service	-	54,453,054,935
- Others	1,241,045,888,316	408,523,830,507
Trade payables to related parties (Note 32)	798,429,167,839	295,405,326,152
TOTAL	3,015,383,166,002	925,390,582,708

19.2 Advances from customers

Currency: VND

	<i>30 September 2018</i>	<i>31 December 2017</i>
Downpayments from customers under sales and purchase agreements (i)	17,417,976,322,156	16,843,606,855,148
Advance from customers for leasing	2,445,354,097,568	-
Others	159,670,337	2,137,409,256
TOTAL	19,863,490,090,061	16,845,744,264,404

- (i) This mainly represents downpayments to purchase apartments, villas and shophouses in Vinhomes Metropolis, Vinhomes Green Bay, Vinhomes Golden River, Vinhomes Thang Long, Vinhomes Riverside, Vinhomes Central Park and Vinhomes Times City projects from customers who signed sales and purchase agreements with the Company and its subsidiaries.

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20. STATUTORY OBLIGATIONS

	<i>Currency: VND</i>			
	<i>Beginning balance</i>	<i>Payable for the period</i>	<i>Payment made in the period</i>	<i>Ending balance</i>
Payables				
Corporate income tax	124,431,747,979	4,242,458,757,595	(2,869,945,940,285)	1,496,944,565,289
Value added tax	76,932,264,068	534,310,978,535	(426,337,958,820)	184,905,283,783
Personal Income tax	555,772,341	111,509,869,338	(99,113,912,431)	12,951,729,248
Other taxes	28,587,039,247	96,080,477,794	(120,693,654,389)	3,973,862,652
TOTAL	230,506,823,635	4,984,360,083,262	(3,516,091,465,925)	1,698,775,440,972
	<i>Beginning balance</i>	<i>Receivable for the period</i>	<i>Offset for the period</i>	<i>Ending balance</i>
Receivables				
Value added tax	83,535,446,363	668,546,450,309	(372,816,871,579)	379,265,025,093
Corporate income tax	2,212,389,776	33,798,408,090	-	36,010,797,866
Other taxes	1,741,876	3,602,369,004	-	3,604,110,880
TOTAL	85,749,578,015	705,947,227,403	(372,816,871,579)	418,879,933,839

21. SHORT-TERM ACCRUED EXPENSES

	<i>Currency: VND</i>	
	<i>30 September 2018</i>	<i>31 December 2017</i>
Accrued costs for handed over apartments and villas	2,067,000,618,004	506,239,161,968
Accrued commission fees and other expenses related to apartments not handed over	850,947,685,410	132,626,220,949
Accrued construction costs	686,869,359,091	304,621,884,440
Accrued interest expenses	980,522,286,462	782,481,153,118
Others	58,559,882,993	12,467,963,128
TOTAL	4,643,899,831,960	1,738,436,383,603
<i>In which:</i>		
Other accrued expenses	3,998,696,148,923	1,254,035,975,214
Accrued expenses to related parties (Note 32)	645,203,683,037	484,400,408,389

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22. DEFERRED REVENUE

	<i>Currency: VND</i>	
	<i>30 September 2018</i>	<i>31 December 2017</i>
Short-term		
Deferred revenue from real estate management services and leasing services	412,882,852,773	16,617,259,917
Deferred revenue from leasing service	19,892,999,703	-
	432,775,852,476	16,617,259,917
Long-term		
Deferred revenue from real estate management services and leasing services	1,846,581,391,060	268,018,281,667
	1,846,581,391,060	268,018,281,667
TOTAL	2,279,357,243,536	284,635,541,584

23. OTHER PAYABLES

	<i>Currency: VND</i>	
	<i>30 September 2018</i>	<i>31 December 2017</i>
Short-term		
Deposits, loans and other agreements related to real estate projects	7,220,923,774,917	4,065,004,830,340
Deposits for share transfer purpose	-	961,124,640,000
Deposits for investment purpose (i)	4,500,000,000,000	-
Deposit under Business Co-operation Contracts (ii)	4,333,774,340,000	188,000,000,000
Apartment maintenance fund held on behalf of customers (iii)	1,359,664,743,042	471,081,820,805
Others	999,299,504,328	77,933,131,022
TOTAL	18,413,662,362,287	5,763,144,422,167
<i>In which:</i>		
<i>Other short-term payable to others</i>	<i>9,245,264,707,181</i>	<i>5,523,266,893,090</i>
<i>Other short-term payables to related parties (Note 32)</i>	<i>9,168,397,655,106</i>	<i>239,877,529,077</i>
Long-term		
Other long-term deposits	126,863,051,379	4,453,549,069
Others	5,135,000,000	-
	131,998,051,379	4,453,549,069

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23. OTHER PAYABLES (continued)

- (i) The deposit is paid back to Vingroup at the reporting date.
- (ii) These pertain to deposits from a number of affiliates to the Company pursuant to Business Co-operation Contracts for purpose of co-operation and transfer of malls, schools and hospital components of Vinhomes Central Park and Vinhomes Metropolis projects. The deposits related to the malls components are bearing interest at 10% per annum;
- (iii) This pertains to maintenance fund held on behalf of customers of Vinhomes Times City, Vinhomes Central Park and Vinhomes Golden River projects, which will be transferred to Building Management Boards. The Company and its subsidiaries are maintaining these fund in cash equivalents and held-to-maturity investment; and

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24. LOANS

		31 December 2017		30 September 2018		Currency: VND
	Note	Cost	Amount able to be paid off	Cost	Amount able to be paid off	
Short-term						
Loans from banks		-	-	46,868,004,218	46,868,004,218	
Loans from corporate counterparties (iii)	24.1	2,000,000,000,000	2,000,000,000,000	1,380,000,000,000	1,380,000,000,000	
Loans from related parties (Note 32)		6,699,590,490,328	6,699,590,490,328	14,485,000,000,000	14,485,000,000,000	
		8,699,590,490,328	8,699,590,490,328	15,911,868,004,218	15,911,868,004,218	
Long-term						
Bonds (iii)	24.2	5,414,121,466,418	5,414,121,466,418	12,323,480,384,671	12,323,480,384,671	
Loans from banks(i)		1,213,565,229,651	1,213,565,229,651	1,421,097,869,017	1,421,097,869,017	
Loans from corporate counterparties (ii)	24.1	-	-	2,450,000,000,000	2,450,000,000,000	
Loans from related parties (Note 32)		-	-	9,491,000,000,000	9,491,000,000,000	
		6,627,686,696,069	6,627,686,696,069	25,685,578,253,688	25,685,578,253,688	
TOTAL		15,327,277,186,397	15,327,277,186,397	41,597,446,257,906	41,597,446,257,906	

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24. LOANS (continued)

(i) Details on long-term loans from bank is presented as below:

<i>Lender</i>	<i>Ending balance (VND)</i>	<i>Principal and interest repayment term</i>	<i>Interest rate</i>	<i>Collaterals</i>
Vietnam Technological and Commercial Joint Stock Bank	1,421,097,869,017	Principal amount is paid in full on 18 January 2021. Interest is paid in each three-month period and on 18th	Interest rate for the first period is 10% per annum. Interest rate for the following periods is calculated as the average of 12-month interest paid-in- arrears VND saving rate for individual from 4 state-owned banks: Vietcombank, Vietintbank, BDIV and Agribank, plus 3.33% per annum	Capital contribution amount of Ecology JSC in Gia Lam LLC, VRE shares held by an affiliate
TOTAL	<u>1,421,097,869,017</u>			

(ii) This is a loan from two (02) business partners with a total value of VND2,450 billion. Interest rates are 8% per annum. These loans do not have collateral.

(iii) Bond issued:

Including three corporate bonds advised by Techcombank Securities in par value of VND5,500 billion on 2,000 billion and 5,000 billion; These loans are due in October 2020, July 2021 and September 2020 and bear interest at the average interest rate of 12 months for individual deposits (interest payment) in Vietnamese Dong issued by Vietnam Joint Stock Commercial Bank for Investment and Development Joint Stock Commercial Bank for Foreign Trade of Vietnam Vietnam Joint Stock Commercial Bank for Industry and Trade and Vietnam Bank for Agriculture and Rural Development announced the interest rate plus 3.25% per annum.

The collateral for this type of bond covers all assets, the rights and interests of Vinpearl Joint Stock Company relating to the Vinpearl Cultural and Ecological Tourism Project (except for the Viet Pagoda).

25. PROVISIONS

This represents provision for repairing costs for apartments and villas at Vinhomes Times City project, Vinhomes Royal City project, Vinhomes Golden River project, Vinhomes Central Park project and Vinhomes Green Bay project in accordance with warranties provision in sale and purchase agreements.

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26. OWNERS' EQUITY

26.1 Increase and decrease in owners' equity

	Attributable to shareholders of the parent				Non-controlling interests	Total	Currency: VND
	Issued share capital	Other funds belonging to owners' equity	Undistributed earnings				
For the six-month period ended 30 September 2017							
As at 1 January 2017	2,000,000,000,000	(2,768,622,679,306)	2,970,805,560,320	7,346,759,266,096		9,548,942,147,110	
- Net profit for the period	-	-	2,402,953,530,244	123,428,552,367		2,526,382,082,611	
- Step-up acquisition of equity interest in existing subsidiaries	-	3,164,171,651,859	(226,865,222,612)	(3,267,811,184,328)		(330,505,755,081)	
- Step-down acquisition of equity interest in dispose subsidiaries	-	(1,914,045,364,475)	-	(547,229,612,766)		(2,461,274,977,241)	
As at 30 September 2017	2,000,000,000,000	(1,518,496,391,922)	5,146,892,867,952	3,655,147,021,369		9,283,543,497,399	
For the six-month period ended 30 September 2018							
As at 1 January 2018	2,000,000,000,000	(99,117,851,011)	5,003,293,133,184	3,219,605,214,270		10,123,785,496,443	
- Additional shares issued (i)	12,000,000,000,000	-	-	-		12,000,000,000,000	
- Stock dividends	4,000,000,000,000	-	(4,000,000,000,000)	-		-	
- Shares issued to acquire subsidiaries (i)	10,365,000,000,000	2,116,151,438,144	-	174,867,536,302		12,656,018,974,446	
- Acquisition of new subsidiaries	-	(231,415,562,948)	-	2,404,307,119,854		2,172,891,556,906	
- Net profit for the period	-	-	11,886,521,923,492	309,618,117,538		12,196,140,041,030	
- Step-up acquisition of equity interest in existing subsidiaries	-	-	581,947,676,866	(979,355,229,312)		(397,407,552,946)	
- Disposal of subsidiaries	-	48,932,974,255	-	3,851,996,365		52,784,970,620	
- Cash dividends (i)	-	-	(900,000,000,000)	(45,277,040,000)		(945,277,040,000)	
- Demerger (ii)	(1,568,884,500,000)	-	-	-		(1,568,884,500,000)	
- Others	-	-	(6,287,934,484)	(8,539,227,395)		(14,827,161,879)	
As at 30 September 2018	26,796,115,500,000	1,834,550,998,440	12,565,479,799,058	5,079,078,487,122		46,275,224,784,620	

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26. OWNER's EQUITY (continued)

26.1 Increase and decrease in owner's equity

- (i) On 18 January 2018, the General Meeting of Shareholders of the Company approved the Resolution No. 01/2018/NQ/DHDCD-HANOI CITY JSC on increase of charter capital and dividends as follows:

- ▶ private share offering of 1,200,000,000 shares to several investors at par value of VND10,000 per share. As a result, share capital of the Company increased by VND12,000 billion;
- ▶ declaration of stock dividend to the existing shareholders at the ratio of 1,000:2,000 (accordingly, each shareholder who owns 1,000 shares is entitled to 2,000 additional shares). Thereby, on 31 January 2018, the Company issued additional 400,000,000 shares at par value of VND10,000 per share. As a result, share capital of the Company increased by VND4,000 billion.
- ▶ issuance of shares to merger with Tan Lien Phat JSC and Vinhomes Management JSC, thereby, increased the Company's share capital by VND10,365 billion, and
- ▶ declaration of cash dividend to the existing shareholders with aggregated amount of VND900 billion with ratio of 45%, which is equivalent to VND4,500 per share.

On 27 January 2018, the General Meeting of Shareholders of the Company approved the Decision No. 03/2018/QD-DHDCD-HANOI CITY JSC on the increase in charter capital from VND2,000 billion to VND28,365 billion following the aforementioned private share offering, issuance of stock dividends and issuance of shares for exchange.

On 1 February 2018, the Company received the 18th Amended Enterprise Registration Certificate issued by Hanoi Department of Planning and Investment which approved the increase in charter capital of the Company to VND28,365 billion.

- (ii) On 5 February 2018, the General Meeting of Shareholders of the Company approved the Resolution No. 02/2018/NQ/DHDCD-VINHOMES JSC on the demerger of Vinhomes JSC into two companies, which are: Vinhomes JSC ("the Demerged Company") and Hanoi Southern City Development and Trading LLC ("the New Company").

- ▶ The Demerged Company shall transfer a part of shares held by an existing shareholder, which is Vingroup JSC, the parent company, together with corresponding assets, rights and obligations to establish the New Company; and
- ▶ The New Company will be entitled to the investment in equity instruments of the Demerged Company which is 156,888,450 quoted shares of Vincom Retail JSC.

After the demerger procedures are completed, the Demerged Company continues to exist and charter capital of the Demerged Company decreased by VND1,568,884,500,000 which is equal to the charter capital of the New Company.

On 12 February 2018, the Company obtained 20th Amended Enterprise Registration Certificate issued by Hanoi Department of Planning and Investment which approved the decrease in charter capital of the Company to VND26,796,115,500,000.

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26. OWNERS' EQUITY (continued)

26.2 Capital transactions with owners' equity

	Currency: VND	
	For the first 9-months period ended 30 September 2018	For the first 9- months period ended 30 September 2017
Contributed share capital from owners		
Beginning balance	2,000,000,000,000	2,000,000,000,000
Private offering	12,000,000,000,000	-
Stock dividends	4,000,000,000,000	-
Issuance of shares for swap under the merger contract	10,365,000,000,000	-
Demerge	(1,568,884,500,000)	-
Ending balance	26,796,115,500,000	2,000,000,000,000

26.3 Shares

	Currency: Share	
	For the first 9- months period ended 30 September 2018	For the first 9-months period ended 30 September 2017
Authorised shares	2.679.611.550	200.000.000
Issued shares	2.679.611.550	200.000.000
Ordinary shares	2.679.611.550	200.000.000
Preference shares	-	-
Shares in circulation	2.679.611.550	200.000.000
Ordinary shares	2.679.611.550	200.000.000
Preference shares	-	-

The par value of outstanding shares: VND10,000 per share (as at 31 December 2017: VND10,000 per share).

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27. REVENUES

27.1 Revenue from sale of goods and rendering of services

	<i>Currency: VND</i>	
	<i>Quarter III 2018</i>	<i>Quarter III 2017</i>
Gross revenue	6,878,187,706,502	6,892,907,624,111
<i>In which:</i>		
Revenue from sales of inventory properties	5,533,687,873,623	6,062,011,777,425
Revenue from rendering real estate management and other service	328,876,731,589	-
Revenue from leasing investment properties and rendering related services	372,938,011,578	71,925,082,533
Revenue from retail outlets	-	222,238,740,289
Revenue from services related to amusement and entertainment	-	510,036,787,003
Revenue from general construction contractor service and design consultancy, construction supervision	566,321,541,607	
Other revenue	76,363,548,105	26,695,236,861
Deductions	-	-
Net revenue	<u>6,878,187,706,502</u>	<u>6,892,907,624,111</u>

27.2 Financial income

	<i>Currency: VND</i>	
	<i>Quarter III 2018</i>	<i>Quarter III 2017</i>
Income from Business Co-operation Contracts (*)	1,304,523,246,183	-
Gains from investment activities	1,991,725,796,117	-
Interest income from deposits and loans	388,234,932,474	150,231,017,276
Other finance incomes	304,005,016	230,460,869
TOTAL	<u>3,684,787,979,790</u>	<u>150,461,478,145</u>

(*) Income from Business Co-operation Contract with Vingroup JSC and an affiliate under real estate projects Business Co-operation contracts including: Vinhomes Riverside The Harmony 2 project, Vinhomes Inperia Hai Phong project, Vinhomes Dragon Bay project and Vinhomes Golden River project (for the nine-month period ended 30 September 2018: VND 7,016 billion). These were collected in cash at the date of these financial statements.

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28. COST OF GOODS SOLD AND SERVICES RENDERED

	<i>Currency: VND</i>	
	<i>Quarter III 2018</i>	<i>Quarter III 2017</i>
Cost of inventory properties sold	2,984,294,545,741	3,724,340,352,634
Cost of rendering real estate management and other services	395,322,273,283	-
Cost of leasing activities and other related costs	281,721,867,891	56,442,059,731
Cost of general construction contractor service	534,144,339,758	-
Cost of goods sold at retail outlets		169,770,895,498
Cost of amusement and entertainment services	-	184,981,017,780
Cost of hospital services and related services	26,533,484,145	5,562,638,298
TOTAL	4,222,016,510,818	4,141,096,963,941

29. FINANCE EXPENSES

	<i>Currency: VND</i>	
	<i>Quarter III 2018</i>	<i>Quarter III 2017</i>
Loan interest and bond issuance cost	717,800,149,645	242,617,470,719
Loss from disposals of investments	-	155,926,611,580
TOTAL	717,800,149,646	398,544,082,299

30. SELLING EXPENSES AND GENERAL AND ADMINISTRATIVE EXPENSES

	<i>Currency: VND</i>	
	<i>Quarter III 2018</i>	<i>Quarter III 2017</i>
Selling expenses		
Commission fees	144,418,888,343	245,505,156,817
Labour costs	39,773,705,283	26,807,597,896
Rental expenses of retail outlets	10,040,023,979	81,234,890,734
Advertising, marketing expenses	6,052,345,522	167,687,427,057
Consultant fees for apartments handed over	2,279,189,859	45,756,177,729
Vinhomes brand name royalty fee	-	37,985,162,690
Others	15,754,689,346	11,338,708,316
	218,318,842,332	616,315,121,239
General and administrative expenses		
Expenses for external services	165,759,106,516	39,889,993,254
Depreciation and amortisation	27,629,554,644	59,365,603,821
Labour costs	60,549,330,764	23,322,002,062
Provision expense	2,146,542,058	-
Others	31,391,022,627	33,687,777,808
	287,475,556,609	156,265,376,945
TOTAL	505,794,398,941	772,580,498,184

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31. CORPORATE INCOME TAX

The current corporate income tax ("CIT") rate applicable to the Company and its subsidiaries is 20% of taxable profits (2017: 20% except for Vinpearl JSC – Nha Trang Branch applies the incentive tax rate of 10% and Vinpearl JSC applies the incentive tax rate of 10% for the first 15 years commencing from the first year in which taxable profit is made and 50% reduction of CIT for the subsequent 9 years).

The tax returns filed by the Company and its subsidiaries are subject to examination by the tax authorities. As the application of tax laws and regulations is susceptible to varying interpretations, the amounts reported in the interim consolidated financial statements could be changed at a later date upon final determination by the tax authorities.

CIT expenses

	<i>Currency: VND</i>	
	<i>For the nine-month period ended 30 September 2018</i>	<i>For the nine-month period ended 30 September 2017</i>
Current tax expenses	2,915,925,277,465	545,025,531,396
Deferred tax income	<u>(11,303,685,610)</u>	<u>(6,565,427,559)</u>
TOTAL	<u>2,904,621,591,855</u>	<u>538,460,103,837</u>

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32. TRANSACTIONS WITH RELATED PARTIES

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows:

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 September 2018 VND</i>	<i>31 December 2017 VND</i>
Trade receivables (Note 6.1)				
Vingroup JSC	Parent company	Receivables from shares transfer	-	9,822,251,781,478
		Receivable from management consultant, general contractor service	82,688,369,904	-
		Receivables from rental and related services	35,536,850,506	-
Vincom Retail JSC	Affiliate	Receivables from rental	123,796,284,564	1,587,730,744
Southern Star JSC	Affiliate	Receivables from shares transfer	-	32,665,960,000
Vinschool LLC	Affiliate	Receivables from income shares from education and relating services	13,478,998,904	6,025,154,038
Vincommerce	Affiliate	Receivable from management consultant, general contractor service	79,946,400,632	
Sai Dong JSC	Affiliate	Receivable from management consultant, general contractor service	9,149,156,636	
Central Park LLC	Affiliate	Receivable from management consultant, general contractor service	10,585,354,602	
Other affiliates		Other receivables	173,045,585,918	8,540,717,820
			528,227,001,666	9,871,071,344,080

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as at 30 September 2018 and for the nine-month period then ended

32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued):

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 September 2018 VND</i>	<i>31 December 2017 VND</i>
<i>Advance to suppliers (Note 6.2)</i>				
Vincommerce JSC	Affiliate	Advance for purchased goods	122,444,854,382	6,040,636,752
		Other advances	-	3,520,314,840
Kind heart Fund	Under common owner	Advance for charitable purpose		92,448,663,563
Vingroup JSC	Parent company	Advance for purchased goods and services	6,164,442,991	-
Vinpro	Affiliate	Advance for purchased goods and services	3,058,474,800	-
Other affiliates		Advance to suppliers	900,976,862	6,066,967,561
			132,568,749,035	108,076,582,716
<i>Other receivables (Note 8)</i>				
Vingroup JSC	Parent company	Deposit for Business Co-operation Contract	7,900,000,000,000	-
		Receivables from share profit of Business Co-operation Contract	995,689,135,900	-
		Receivables from centralised cash flow account	1,086,501,574,301	53,070,861,526
		Other receivables	95,231,716,676	-
Vincom Retail JSC	Affiliate	Receivables from payment on behalf	16,783,225,523	-
Other affiliates		Other receivables	64,719,562,448	92,304,882,303
			10,158,925,214,848	145,375,743,829

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32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued):

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 September 2018 VND</i>	<i>31 December 2017 VND</i>
<i>Other current assets (Note 12)</i>				
Vingroup JSC	Parent company	Deposits for share transfer and investment purpose	4,198,998,985,139	-
Sai Dong JSC	Affiliate	Deposit for share transfer	200,257,600,000	-
			4,399,256,585,139	-
<i>Other non-current assets (Note 12)</i>				
Vingroup JSC	Parent company	Deposit for share transfer and investment purpose	1,575,229,708,712	-
			1,575,229,708,712	-

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32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued):

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 September 2018 VND</i>	<i>31 December 2017 VND</i>
Trade payables (Note 19.1)				
Vincommerce JSC	Affiliate	Payables for purchased goods	32,395,928,824	92,832,889,672
		Other trade payables	-	1,241,743,487
Vingroup JSC	Parent company	Management fee payables and other trade payables	555,090,440,577	47,008,017,582
Can Gio JSC	Affiliate (before becoming subsidiary)	Payables for share transfer	-	81,743,910,000
Sai Dong JSC	Affiliate	Other trade payables	14,384,813,402	-
Vinpro	Affiliate	Payables for purchased goods	41,363,057,940	
Vincom Retail JSC	Affiliate	Payables for purchased goods	9,547,359,531	
Northern Vincom Retail	Affiliate	Payables for purchased goods	11,858,018,534	
Other affiliates		Other trade payables	133,789,549,031	72,578,765,411
			798,429,167,839	295,405,326,152

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32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued):

Accrued expense (Note 21)

Related parties	Relationship	Transactions	30 September 2018	31 December 2017
			VND	VND
Phu Quoc Tourism JSC	Parent's associate	Accrued interest	-	148,701,749,999
Xavinco JSC	Affiliate	Accrued interest	90,096,374,811	47,825,361,113
Southern Star JSC	Affiliate	Accrued interest	-	79,742,172,223
Vingroup JSC	Parent company	Accrued interest	394,506,164,384	64,190,805,600
Vicentra JSC	Affiliate (before merger date)	Accrued interest	-	50,854,999,999
Central Park LLC	Affiliate	Accrued interest	95,898,721,468	-
VinFast LLC	Affiliate	Accrued interest	31,452,054,794	-
Other affiliates		Other accrued expenses	33,250,367,580	93,085,319,455
			645,203,683,037	484,400,408,389

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32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued):

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 September 2018 VND</i>	<i>31 December 2017 VND</i>
<i>Other short-term payables (Note 23)</i>				
Vinschool LLC	Affiliate	Deposit for project transfer	200,000,000,000	-
Vinmec JSC	Affiliate	Deposit for project transfer	200,000,000,000	-
		Other payables	1,456,015,344	
Vincom Retail JSC	Affiliate	Deposit for Business Co-operation Contract	1,759,000,000,000	188,000,000,000
		Other payables	15,736,803,728	-
Vinpearl JSC	Affiliate	Deposit for Business Co-operation Contract	2,199,807,000,000	-
		Payables for payment on behalf	171,117,951,582	-
Vingroup JSC	Parent Company	Deposit for Business Co-operation Contract	4,500,000,000,000	-
Other affiliates		Other payables	121,279,884,452	51,877,529,077
			<u>9,168,397,655,106</u>	<u>239,877,529,077</u>

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32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued):

Details of lendings to related parties (Note 7)

Details of lendings as at 30 September 2018:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>
Vincommerce JSC	Affiliate	12,650,000,000,000	8%	September 2019
		12,650,000,000,000		

The collateral is a number of ordinary shares of Vincommerce JSC owned by a shareholder.

Details of lendings as at 31 December 2017:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>
Times Trading LLC	Affiliate	840,000,000,000	7%	October 2018
		790,000,000,000	7%	May 2018
Tan Lien Phat JSC	Affiliate (until 31 January 2018)	555,000,000,000	7%	July 2018
		329,000,000,000	7%	December 2018
Vinmec JSC	Affiliate	170,000,000,000	7%	December 2018
		2,684,000,000,000		

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32. TRANSACTIONS WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows (continued)

Details of borrowings from related parties (Note 24)

Details of borrowings as at 30 September 2018:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>
Vingroup JSC	Parent company	11,200,000,000,000	8%	September 2019
Vinfast LLC	Affiliate	8,600,000,000,000	8%	September 2019
Xavinco JSC	Affiliate	641,000,000,000	8%	August 2020
Central Park LLC	Affiliate	985,000,000,000	8%	September 2019
Xalivico LLC	Affiliate	250,000,000,000	8%	April 2020
Vinpearl JSC	Affiliate	1,400,000,000,000	8%	September 2019
Grand Prix Vietnam LLC	Affiliate	900,000,000,000	8%	September 2019
		23,976,000,000,000		

These loans are secured by VHM shares and a number ordinary shares of certain subsidiaries.

Details of borrowings as at 31 December 2017:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>
Vingroup JSC	Parent company	1,500,000,000,000	7%	December 2018
		660,000,000,000	7%	December 2018
Vicentra JSC	Affiliate	860,000,000,000	7%	July 2018
Xavinco JSC	Affiliate	767,000,000,000	7%	April 2018
Vinschool LLC	Affiliate	735,000,000,000	7%	August 2018
Metropolis Hanoi LLC	Affiliate	620,000,000,000	7%	April 2018
Southern Star JSC	Affiliate	510,000,000,000	7%	February 2018
Royal City JSC	Affiliate	420,000,000,000	7%	October 2018
Xalivico LLC	Affiliate	254,000,000,000	7%	April 2018
Central Park LLC	Affiliate	240,000,000,000	7%	May 2018
VinAcademy LLC	Affiliate	121,500,000,000	7%	January 2018
Tay Tang Long LLC	Affiliate (before becoming subsidiary)	12,090,490,328	7%	June 2018
		6,699,590,490,328		

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 September 2018 and for the nine-month period then ended

33. EARNINGS PER SHARE

The following reflects the income and share data used in the basic and diluted earnings per share computations:

	Currency: VND	
	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
Net profit (loss) after tax attributable to ordinary shareholders	11,886,521,923,492	2,402,953,530,244
Adjust for the effect of dilution	-	-
Net profit attributable to ordinary shareholders adjusted for the effect of dilution	11,886,521,923,492	2,402,953,530,244
	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
Weighted average number of ordinary shares for basic earnings per share (Adjusted for stock dividend issued in February 2018 and October 2018 (*))	3,052,711,339	750,000,000
Adjust for the effect of dilution	-	-
Weighted average number of ordinary shares (excluding treasury shares) for basic earnings per share	3,052,711,339	750,000,000
	Currency: VND	
	For the nine-month period ended 30 September 2018	For the nine-month period ended 30 September 2017
Basic earnings per share	3,894	3,204

(*) On 18 January 2018, the General Meeting of Shareholders of Hanoi Southern JSC approved the Resolution No. 01/2018/NQ/DHDCD-HANOI CITY JSC on the declaration of stock dividend to existing shareholders at the ratio of 1,000:2,000 (accordingly, each shareholder owning 1,000 shares will be entitled to 2,000 additional shares). Subsequently, on 1 February 2018, the Company received the 18th amended Enterprise Registration Certificate dated 1 February 2018 issued by the Hanoi Department of Planning and Investment which approved charter capital increase of the Company.

In October 2018, the Company has completed the issuance of stock dividends as disclosed in Note 35.

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these interim consolidated financial statements.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
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34. SEGMENT REPORT

The Company and its subsidiaries do not present the segment report for the nine-month period ended 30 September 2018 because the Company and its subsidiaries have only one segment needed to report in the period that is the real estate business accounts for a significant portion of total assets, revenue and profit of the Company and its subsidiaries.

Two (02) other business divisions in 2017 include entertainment business and related services and retail business services have been disposed together with a decrease in ownership / transfer shares in subsidiaries including Vinpearland Joint Stock Company in 2017 and VinDS in the period.

35. EVENTS AFTER THE BALANCE SHEET DATE

On 1 October 2018, the Company completed the acquisition of Vincom Consulting and Construction Company Limited.

On 11 October 2018, the Company received Notice No. S071/2018-VHM/VSD from Vietnam Securities Depository. Therefore, the number of shares issued by the Company is 669,902,368 shares. The issuance of additional shares increased the Company's share capital by VND 6,699,023,680,000 (par value of VND10,000).

There is no other matter or circumstance that has arisen since the interim consolidated balance sheet date that requires adjustment or disclosure in the interim consolidated financial statements of the Company.



Phung Thi Bich Hong
Preparer



Bui Thi Ha
Chief Accountant



Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

30 October 2018